

chances are high that most of your soldiers will make it across the minefield and win the battle. But you know you are going to lose some men; you just don't know which ones. In our investment battles, we know some investment ideas will get blown up and overall performance won't be as good as we'd hoped.

A chart is a handy, shorthand way of checking up on a stock. If you see it's doubled in the past six months, you're probably too late.

Do I also look at charts to help me in making buy decisions? I do. I'd never buy a stock solely on the basis of its "breaking out" or anything of that sort, but a chart is a handy, shorthand way of checking up on what's been going on in the stock. If you see a stock has doubled in the past six months, you're probably too late.

Can Machine-Made Be Better?

Like almost everyone else these days, we rely on computers throughout the investment process—to organize data, screen for certain characteristics, and make calculations, including those of our dividend discount model. We're using them only as research assistants, though, and not in a particularly sophisticated or creative way. They're good at screening and evaluating for us, looking through data the same way human beings do. We're not using them to predict where the market's headed or to pick stocks or to construct a portfolio.

Someday the technical people—the "quants"—relying entirely